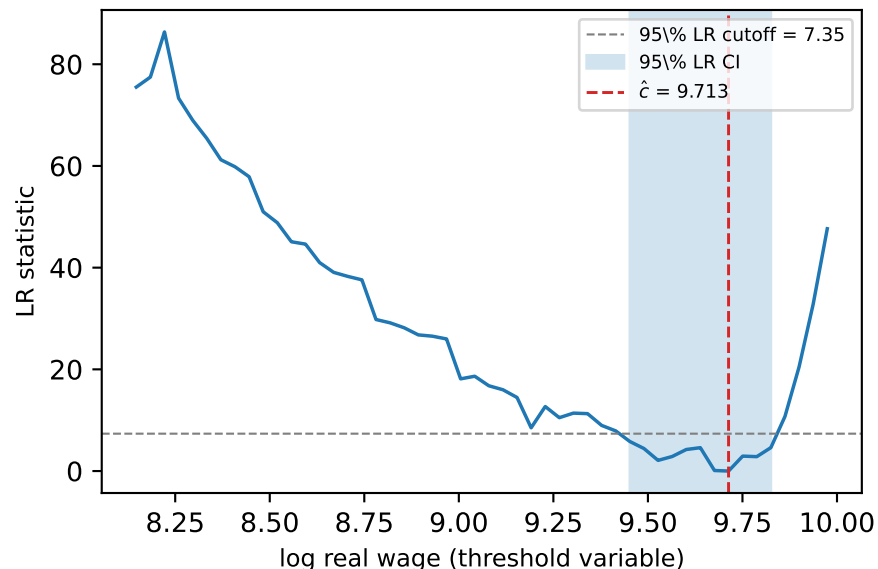


Hansen (1996, 2000) threshold regression: shock decomposition
 Panels A-C: log real wage threshold, varying the climate shock. Panel D: GDP per capita threshold (temperature shock).

(A) SPEI shock — headline

$$\hat{c} = 9.713, p = 0.012$$

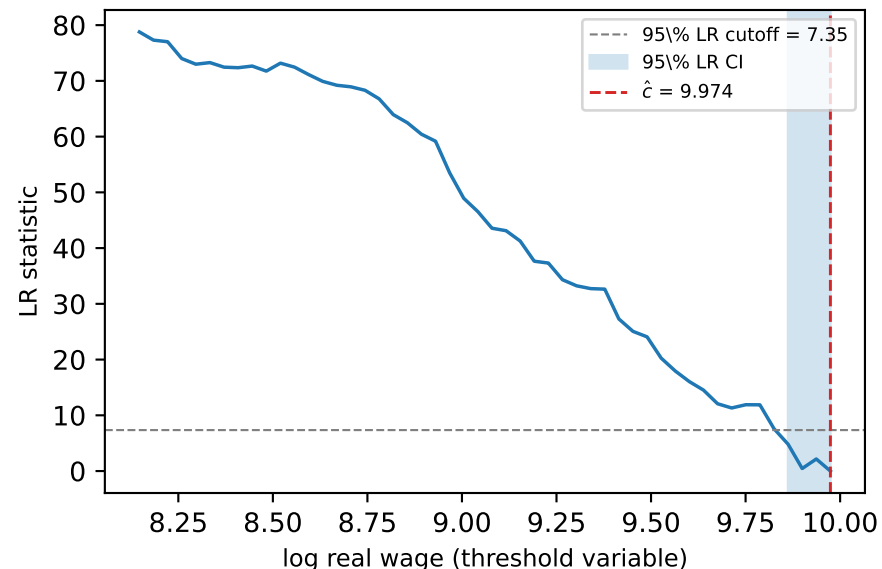
$$\hat{\beta}_{<} = -0.016, \hat{\beta}_{>} = 0.208 \quad (N = 1314)$$



(B) Temperature shock

$$\hat{c} = 9.974, p = 0.012$$

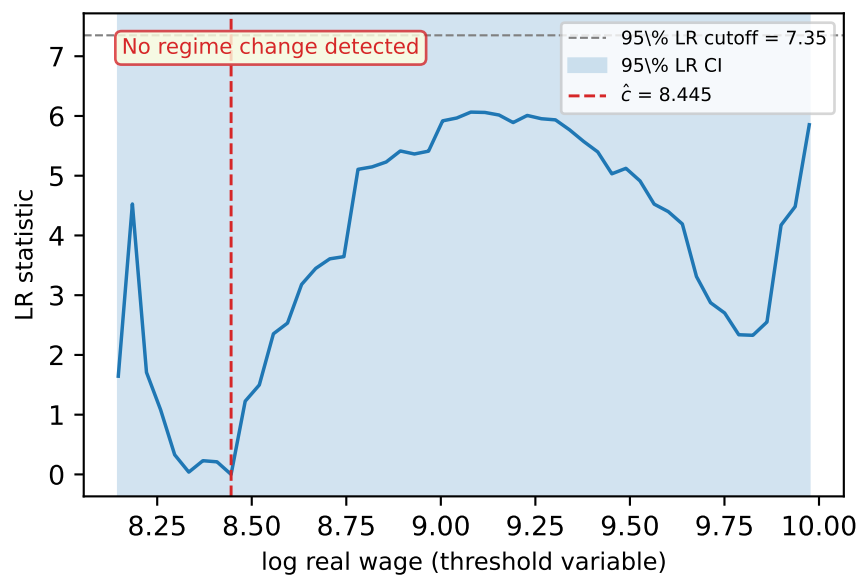
$$\hat{\beta}_{<} = -0.089, \hat{\beta}_{>} = -0.421 \quad (N = 1314)$$



(C) Precipitation shock

$$\hat{c} = 8.445, p = 0.732$$

$$\hat{\beta}_{<} = 0.008, \hat{\beta}_{>} = 0.001 \quad (N = 1314)$$



(D) Temperature shock / GDP threshold

$$\hat{c} = 9.935, p = 0.012$$

$$\hat{\beta}_{<} = -0.098, \hat{\beta}_{>} = -0.445 \quad (N = 1413)$$

